Spectrum Electrical Industries Ltd

Concall Tracker · Q2 2027 (quarter ended Sep 2026) · first report

1. Snapshot

Jalgaon contract manufacturer that makes stamped, moulded, plated and welded parts and assemblies for low-voltage switchgear and electrical panels, mostly for a handful of multinational electrical OEMs, plus some automotive and irrigation parts. Moved from the NSE SME board to the main board in March 2025. In March 2026 it launched Alric, its own brand of breakers and switches.

Number	Value	What it means
Market cap	Rs 7,587 cr	What the market values the whole company at.
Sales, last 12 months	Rs 651 cr	Up nearly half on the year before; sales have more than doubled since FY24.
Operating margin, Sep 2026 quarter	19%	Up from 13% a year ago; it now keeps almost a fifth of sales as operating profit.
Net profit, last 12 months	Rs 61 cr	Up from Rs 43 cr in FY26.
Borrowings (Mar 2026)	Rs 270 cr	Debt has climbed every year to fund new plants; the fresh equity raise should ease this.
P/E	125	A very rich price: the market is paying for a lot of future growth.

2. Concall coverage

No concall transcripts were available on Screener. This report is based on a global web deep-dive.

Sources used:

- Screener.in financial and shareholding tables
- Annual Report FY2025-26 (filed on NSE, 8 Sep 2026): chairman's letter and MD&A
- NSE filings: board outcome 24 Jul 2026 and EGM 20 Aug 2026 on the preferential issue
- Results summaries for the Sep 2026 quarter (Univest, Arthneeti)

Quarter	Date	Transcript read?
Sep 2026 quarter	7 Nov 2026	No call held; results, annual report and filings read

No concall transcripts were available. The annual report's chairman letter is the main source for management's own plans.

Latest update highlights: Sep 2026 quarter (results 7 Nov 2026)

- Sales about Rs 191-198 cr, up roughly two-thirds on last year; net profit about Rs 18 cr.
- Operating margin jumped to about 19% from 13% a year ago, the best in the table.
- A Rs 325 cr preferential issue was approved at the 20 Aug EGM: shares to HDFC MF schemes, Valuequest and others at Rs 2,002, and warrants to the promoter at the same price.
- Tax rate was unusually high this quarter, which held back profit growth versus operating profit.

Business mix & capacity

Domestic vs export: Not broken out. Mostly domestic supply, but a large share of revenue comes from a few multinational customers.

Capacity use: Utilisation not disclosed. Jalgaon expanded to about 3 lakh sq ft under one roof; new sites at Nashik and Bengaluru; management says the priority now is converting capacity into utilisation.

3. Earning Trigger thesis

Spectrum's trigger is moving up from simple parts to harder ones: copper forging, brazing and silver plating for air circuit breakers, plus a planned electronics (EMS) line and space for data-centre components with global OEM partners. Its own Alric brand is the longer bet. Growth and margins are already showing it; the new lines aren't in the numbers yet.

Trigger	What management said	Evidence so far	Time horizon	Strength
Higher-value switchgear parts (copper, ACB welding, silver-graphite)	Capability investments to serve more demanding OEM needs	Margin up from 13% to 19% in a year	Now	Strong
EMS line (Rs 20 cr, 40,000 sq ft)	Moving to advanced execution in FY27	Not yet commissioned	FY27	Unproven
Data-centre components (1 lakh sq ft)	Built with global OEM partners via ODM route	Space allocated, no revenue cited	FY27-28	Unproven
Alric own brand	Premium MCB/RCCB brand launched Mar 2026	Early, no revenue figure	Long term	Weak so far

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not stated; borrowings still rising.
New business	Yes	Alric Electric acquired and launched Mar 2026; EMS and data-centre lines planned (AR FY26).
Margin up	No	Margins rose, but management gave no reason on a call; numbers alone.
New management	No	Deepak Chaudhari remains Chairman and MD.
New capacity	Yes	Jalgaon expanded to about 3 lakh sq ft, new Nashik and Bengaluru facilities (AR FY26).
Big orders	No	Annual report cites multi-year order visibility but no order book.
Turnaround	No	Profitable throughout.
Promoter buying	Yes	Promoter Deepak Chaudhari takes warrants at Rs 2,002 in the Rs 325 cr issue (EGM 20 Aug 2026).

The single concrete driver: New copper and precision-welding work for switchgear makers has lifted sales and margins, and the fresh equity will fund an electronics line and data-centre parts.

3c. Margin bridge

Operating margin rose from about 13% a year ago to about 19% this quarter. The annual report points to higher-value work (copper processing, critical welding, plating) and more scale from the bigger Jalgaon plant. No call to say if it lasts, but it has risen in steps over three years rather than in one jump (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24-25	Migrate from SME to main board	Done Mar 2025	Delivered
FY26	Expand Jalgaon, add Nashik and Bengaluru, launch own brand	All done; Alric launched Mar 2026	Delivered
FY27	EMS line to advanced execution; extra 3 MW rooftop solar	Under way	Too-early
Jul-Aug 2026	Raise Rs 325 cr from funds and promoter	Approved by shareholders; allotment confirmation not seen	Partly

Narrative drift: The story has evolved in steps rather than jumped: from plating to stamping to moulding to whole switchgear assemblies, and now electronics. Each step has shown up in sales. The new brand is the one piece that's a real departure.

5. Bottom line

Durable earning trigger? → YES

Sales and margins have both stepped up for three years on more complex switchgear work, and big funds plus the promoter are putting in fresh money at a high price. The newer EMS and data-centre lines are still promises.

Management consistent? → MAYBE

What the company said it would build, it built. But there are no calls and no numeric guidance, so the record is short and the valuation leaves no room for a miss.

6. Checkpoints for next quarter

- Preferential allotment to funds is completed
- EMS line starts commercial production
- Operating margin holds near this quarter's level

This is not investment advice. Do your own due diligence.